Additional information:

(i) The club had furniture of ₹ 12,000 on 1st April 2016. Ignore depreciation on furniture.

(ii) Subscription outstanding for 2016-2017 ₹ 600.

(iii) Stock of sports materials on 31.03.2017 ₹ 100.

(iv) Capital fund as on 1st April 2016 was ₹ 23,000.

Solution

In the books of Friends Football Club

Income and Expenditure Account

Dr. **for the year ended 31st March, 2017** **Cr.**

Expenditure	₹	₹	Income	₹	₹
To Sports materials consumed			By Subscription	5,000	
Purchases	800		Add: Outstanding for 2016-17	600	5,600
Less: Closing stock	100	700	By Collection for special dinner		2,000
To Special dinner expenses		1,500			
To Electricity charges		900			
To Excess of income over expenditure (surplus)		**4,500**			
		7,600			7,600

Balance sheet as on 31st March, 2017

Liabilities	₹	₹	Assets	₹	₹
Capital fund	23,000		Furniture	12,000	
Add: Excess of income			Add: Additions	7,000	19,000
over expenditure (surplus)	4,500	27,500	Stock of sports materials		100
Legacies		6,000	Subscription outstanding for 2016-17		600
			Cash at bank		12,000
			Cash in hand		1,800
		33,500			33,500

Illustration 18

Following is the Receipts and Payments Account of Salem Recreation Club for the year ended 31st March, 2019.

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